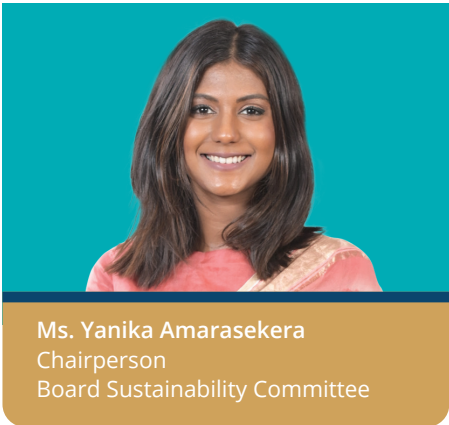


BOARD SUSTAINABILITY COMMITTEE REPORT

The continuity of a business organisation hinges on its environmental impact and its management of these impacts. With this understanding, we have redefined our sustainability journey to introduce exemplary sustainability practices to the NBFi sector

PURPOSE OF THE COMMITTEE

The Board Sustainability Committee (the Committee or BSC) was established with the purpose of streamlining the Company's sustainability related activities, and thereby add value to the environment, society while strengthening governance and economic performances of the business.



COMPOSITION OF THE COMMITTEE

COMMITTEE MEMBER	STATUS
Ms. Yanika Amarasekera	Chairperson/Independent Non-Executive Director
Mr. G.A.R.D. Prasanna	Non- Independent Non-Executive Director
Mr. Niroshan Udag	Deputy Managing Director
Ms. Ashwini Natesan	Independent Non-Executive Director

COMMITTEE MEETINGS

The Committee held its inaugural meeting on 28 March 2024 to establish a solid foundation for our sustainability journey, guided by a company-specific, well-defined sustainability policy, as well as relevant local and global standards and frameworks.

Details regarding the attendance of Committee members are stated in the table on page 174.

Members of the Sustainability Management Committee also participated in this meeting to share their ideas and gain insights from the BSC. The decisions taken at the Committee level will be executed through this Management Committee. The Company Secretary acted as the secretary to the Committee.

COMMITTEE RESPONSIBILITIES

- Review and recommend the Company's sustainability policy.
- Oversight of sustainability-related risks and opportunities.
- Ensure the Company is equipped with the appropriate skills and competencies to oversee strategies addressing sustainability risks and opportunities.

- Review reports and advise on measures to ensure the Company's long-term sustainability across economic, social, and environmental dimensions.
- Monitor the Company's performance against selected external sustainability indexes and internal metrics.
- Review and approve the Company's annual sustainability agenda.
- Review the annual Sustainability Report included in the Company's annual report.
- Review, comment on, and provide guidance for the Company's plans and actions regarding ESG/sustainability topics.

COMMITTEE ACTIVITIES DURING THE FINANCIAL YEAR

The Committee recognised the importance of adopting the Sustainability Disclosure Standards S1 and S2 (SLFRS S1 and S2), issued by the Institute of Chartered Accountants of Sri Lanka, as the primary standards for sustainability reporting.

These standards are effective for annual reporting periods commencing on or after January 1, 2025, with early adoption permitted. The Management expressed

a strong interest in voluntarily applying these standards to the Annual Report for the financial year ending March 31, 2024. Accordingly, necessary steps were taken to initiate reporting on sustainability-related risks and opportunities, as well as associated disclosures, in accordance with these standards.

Furthermore, the Committee emphasised the importance of complying with the 'Consumer Finance' Standard issued by the Sustainability Accounting Standards Board (SASB) to enhance the quality of the Company's sustainability reporting. Notably, LBF is the first company in the NBFi sector to apply the SASB Standard and obtain an independent assurance report for the financial year 2023/24.

I wish to extend my gratitude to my fellow BSC members and the members of the Sustainability Management Committee for their cooperation throughout the year

Yanika Amarasekera

Ms. Yanika Amarasekera
Chairperson
Board Sustainability Committee
27 May 2024